

July 23, 2026 08:13 AM GMT

PayPay (PAYP) | Japan

OW Upgrade: Growth Outlook Intact; Attractive Valuation, With Life Insurance Investment Uncertainty Reflected

WHAT'S CHANGED

PayPay (PAYP.O)	From	To
Rating	Equal-weight	Overweight
Price Target	US\$24.00	US\$23.00

We trim our PT to \$23 from \$24 reflecting life insurance investment uncertainty, but our core growth outlook is unchanged. Stock still looks attractive even after applying a larger discount, with upside potential outweighing downside risk.

Key Takeaways

- Mid-term growth intact: GMV growth, high take rates, financial service expansion
- Correction leaves the stock undervalued even after applying a larger discount

Upgrade to OW: We forecast 3yr CAGR of 18.9% for revenue, 19.1% for contribution profit. We expect F3/27 adjusted EBITDA to track ahead of the firm's plan, and 1Q earnings near the top end of guidance. With growth drivers intact (GMV growth, sustained high take rates, increased cross-selling of financial services), the mid-term profit growth trajectory is unchanged. While we view the life insurance investment as a longer-term growth opportunity, uncertainty remains over synergy with existing business and path to monetization. Given this, we widen the discount in our valuation and assign an EV/GP multiple of 6x (previously 5-7x range). Even after increasing our discount, the stock still looks attractive, and we see outlining the size of profit contribution from new domains, including financial services & life insurance, as key to recovery in valuations. While near-term catalysts remain limited, risk-reward suggests upside potential outweighs downside risk.

1Q (July 31) likely to see strong earnings momentum continue: We expect 1Q results near the top of the guidance range. While near-term earnings trends remain solid, we believe this is largely reflected in market expectations, so 1Q results alone may not be sufficient to drive a significant re-rating. Meanwhile, we believe concerns around the life insurance investment are increasingly reflected in the share price, which we expect to recover gradually as PayPay delivers solid earnings growth.

Impact of investment in life insurance? The focus will be insurance policy acquisition through PayPay and progress in cross-selling financial products. Longer term, benefits of more sophisticated asset management capabilities are key. The crux in evaluating true value of PayPay's life insurance investments will be how far initiatives boost product competitiveness, capital efficiency, and ultimately ROE.

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PayPay (PAYP.O, PAYP US)

Brokers & Other Financials | Japan

Stock Rating	Overweight			
Industry View	In-Line			
Price target	US\$23.00			
Up/downside to price target (%)	45			
Shr price, close (Jul 22, 2026)	US\$15.90			
Mkt cap, curr, basic (bn)	¥1,755.9			
Div yld (03/27e) (%)	0.0			
Fiscal Year Ending	03/26	03/27e	03/28e	03/29e
Revenue, net (¥bn)	380.7	461.6	556.4	639.8
Profit before tax (¥bn)*	79.9	110.3	159.2	202.3
Net income (¥bn)*	115.0	72.4	104.6	131.5
EPS, basic (¥)*	169.9	107.0	154.5	194.2
Prior EPS, basic (¥)*	163.9	110.6	155.8	-
EPS (¥)**	169.9	107.0	154.5	194.2
Prior EPS (¥)**	163.9	110.6	155.8	-
P/E, basic*	19.9	24.2	16.8	13.4
P/BV, basic	5.8	3.8	3.1	2.5
ROE (%)*	115.2	18.4	22.4	23.0
EV/EBITDA, basic	27.0	17.5	12.2	9.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

* = GAAP or approximated based on GAAP

e = Morgan Stanley Research estimates

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AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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PayPay PAYP.O

Gross Profit growth, EBITDA margin, Financial Service growth	— In-line	— Largely unchanged
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- In the payment segment, we expect top-line growth to continue, driven by sustained GMV expansion, while profitability should improve on the back of a high take rate.
- In the financial service segment, we expect stable growth in the banking business, with the benefits of interest rate hikes likely to contribute from next fiscal year onward.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Upgrade to OW

We upgrade to OW and revise our target price from US\$24 to US\$23

We upgrade from EW to OW while lowering our price target to US\$23 from US\$24. We continue to view the company as a high-growth business, forecasting a three-year CAGR of 18.9% for revenue and 19.1% for contribution profit. We have applied a larger discount than previously to reflect uncertainty surrounding its investment in the life insurance business. Accordingly, we have increased the discount rate used in our valuation framework, and apply an EV/GP multiple of 6x (vs. our previous valuation range of 5x-7x). In our discussions with global investors, a common observation has been that the company had not previously highlighted life insurance as a strategic priority. While we believe PayPay may ultimately seek to broaden its product and service offerings and potentially enhance its asset management capabilities through this investment (although details remain limited at this stage), many investors appear to view the transaction as a slight departure from the investment strategy typically expected of a US-listed growth company. We believe this mismatch in expectations could continue to weigh on valuation multiples in the near term.

Expect guidance beat in F3/27

The company provides both quarterly and full-year guidance for revenue and EBITDA. For F3/27, management targets 20.3% YoY revenue growth (median) and 23.7% YoY EBITDA growth (median), but we expect progress to track ahead of plan. We also forecast 1Q results to come in near the upper end of company guidance (we forecast adjusted EBITDA of ¥32.25bn, versus the company's guidance range of ¥30.5bn–¥32.5bn). This view is driven by improving profitability in the payments business and continued expansion of the financial services business, both of which we believe will be key earnings drivers.

Payment business: Expect operating leverage to continue to expand

We expect PayPay to enhance profitability while sustaining GMV growth by widening the spread between its take rate and cost rate. The key drivers are: 1) an improved GMV channel mix through a higher share of online payments; 2) increased interest income driven by greater adoption of BNPL (Buy Now, Pay Later) and revolving payment products; and 3) expansion of higher value-added payment services. As a result, we believe revenue growth is likely to outpace payment volume growth. While competition in the payments market remains intense, PayPay continues to maintain strong user retention. We also believe the company can sustain disciplined marketing investment even in a competitive environment, as it exercises tight control over point-reward expenses.

Financial services business: Asset expansion and normalization of interest rates to provide tailwinds

For the financial services business, we expect earnings growth to be driven by both expansion in loan and investment balances and improving net interest margins. At PayPay Bank, we expect rising deposit rates to precede the repricing of mortgage loans by approximately six months during the rate-hiking cycle, creating a temporary headwind to earnings. However, over the medium to long term, the benefits of higher lending rates should become increasingly evident, and we therefore view interest rate normalization as

a positive driver of profit growth. Notably, management's assumptions incorporate additional rate hikes in July 2026 (though the hike had in fact already been implemented in June) and January 2027.

Financial services EBITDA margin improved significantly in F3/26, but we expect the pace of margin expansion to moderate temporarily in F3/27 as the company increases growth investments. We believe the primary investment area will be the All-in-One Card, which integrates the group's card functions into a single product. This initiative is likely to entail card issuance costs as well as marketing expenditures aimed at customer acquisition and usage stimulation. That said, we view these investments not as a short-term drag on earnings, but as strategic upfront spending to enhance long-term customer LTV. As the company advances the development of a financial ecosystem spanning payments, deposits, lending, and wealth management, we believe it can expand revenue per customer and further diversify its earnings base, thereby increasing its long-term growth potential.

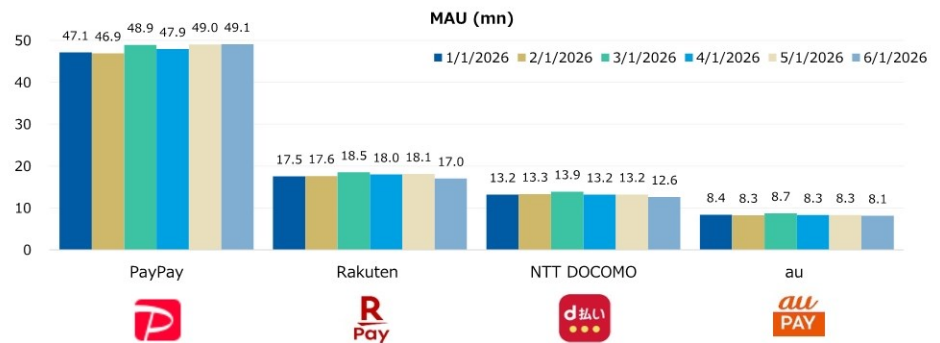
Key changes to our earnings forecasts

We forecast F3/27 revenue of ¥461.6bn (+21.3% YoY) and adjusted EBITDA of ¥140.9bn (+26.8% YoY), vs. company guidance of ¥454.0–¥462.0bn in revenue and ¥134.5–¥140.5bn in adjusted EBITDA. Compared with our previous forecast, we have lowered revenue by 2.3% and adjusted EBITDA by 4.4%. Key revisions include: 1) incorporating F3/26 results; 2) reducing our forecast for PayPay balance transaction growth (YoY), reflecting a shift in growth drivers from PayPay balance to PayPay Credit/PayPay Card; and 3) raising our assumptions for various expense ratios in the payments segment due to changes in the payment method mix. Through our newly forecast period ending F3/29, we project a three-year CAGR of 18.9% for revenue and 28.8% for adjusted EBITDA. We do not bake into our model the impact of investing in T&D Financial.

Exhibit 1: PayPay scenario analysis

F3/28e	Base	Bull	Bear
Gross Profit (Contribution Profit, JPY mn)	432,027	446,450	417,020
EV/Gross Profit Multiples (x)	6	7	3.5
EV (JPY mn)	2,592,160	3,125,147	1,459,570
Net Debt (JPY mn)	75,822	-47,539	108,539
Market Cap (JPY mn)	2,516,337	3,172,687	1,351,031
Per Share (JPY)	¥3,717	¥4,687	¥1,996
Fair Value Per Share (USD)	US\$23	US\$29	US\$12
Upside/Dowside vs current share price	44.7%	82.4%	-24.5%
Implied Adj. EV/EBITDA (x)	13	15	8
Implied P/E (x)	24	28	14
Current Share Price (USD)	\$15.90		

Source: Morgan Stanley Research, Share price as of July 22nd.

Exhibit 2: Paypay's MAU is stable and high

Source: Sensor Tower, Morgan Stanley Research

Will the investment in T&D Financial affect the company's growth trajectory?

At least until the expected completion of the investment in October 2027, our view on PayPay's earnings outlook remains largely unchanged. We do not believe this investment will alter the growth trajectory of the core business. The company's key growth drivers—including continued GMV expansion, sustained high take rates, and increased cross-selling of financial services—remain firmly in place, and we continue to expect solid earnings growth over our three-year forecast period.

We are generally positive on PayPay's expansion into the life insurance sector, as we believe it has the potential to strengthen its financial ecosystem over the long term. According to the Life Insurance Association of Japan, the domestic life insurance market is sizable, with annual premium income of approximately ¥36.8tn as of March 2025, while digital distribution remains at a relatively early stage of development, suggesting meaningful medium-term growth potential. That said, with respect to the specific investment target, we note challenges that are common across the bancassurance channel. T&D Financial's market share within the overall life insurance market is not particularly large, and we suspect its margins on new insurance policies may be relatively modest, given its greater exposure to single-premium savings-oriented products. As a result, investors may remain cautious until PayPay's management provides greater clarity around its value-creation strategy, expected synergies, and path to monetization.

We view this transaction as potentially more than a simple expansion of insurance distribution channels. In our view, it suggests a broader strategy aimed at strengthening both the distribution and asset management sides of the insurance business. For life insurers, product competitiveness depends on sales capabilities as well as how effectively premium income can be invested. Higher investment returns can enhance pricing flexibility and assumed interest rates, ultimately improving both product attractiveness and pricing competitiveness. In addition, more sophisticated reinsurance utilization and asset-liability management can contribute to greater capital efficiency.

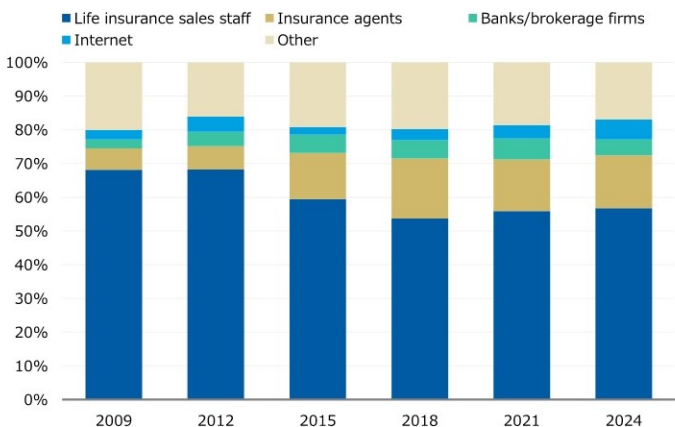
That said, life insurers operate under a strict regulatory framework designed to protect policyholders, and PayPay will not have unrestricted access to insurance assets. Rather, we believe the transaction is best viewed as a collaborative model that combines insurance, digital platforms, and asset management: PayPay provides customer acquisition and distribution capabilities, while OneIM contributes expertise in investment management, reinsurance, and risk management to enhance the insurer's underlying profitability.

In the near term, investors are likely to focus on policy acquisition through PayPay's platform and cross-selling opportunities to its large user base. Over the longer term, however, the key question will be the extent to which OneIM's involvement can improve investment performance and strengthen product competitiveness, capital efficiency, and ROE. In our view, this will be the most important factor in assessing the transaction's ultimate value creation potential.

What is needed for PayPay's valuation multiple to recover?

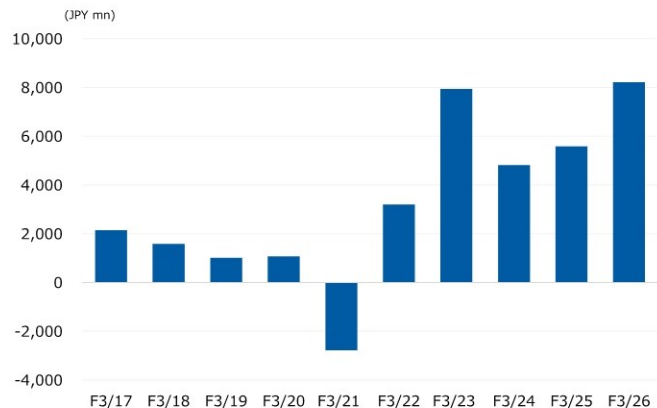
In our view, demonstrating earnings growth beyond the payments business will be critical for a recovery in PayPay's valuation multiple. The growth outlook for the core payments business is already well understood by investors and, in our opinion, is largely reflected in the current share price. To justify a higher valuation, the company will need to show that newer business areas—such as financial services and, potentially, life insurance—can generate meaningful incremental earnings and further enhance its long-term growth profile. Clear evidence of synergy realization, monetization, and broader value creation from these initiatives could help narrow the current valuation discount.

Exhibit 3: Life insurance sales mix by distribution channel:
Online channel offers upside potential over the medium term



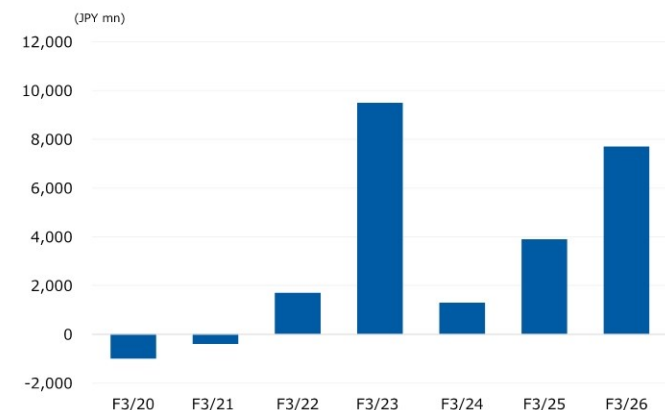
Source: Japan Institute of Life Insurance, Morgan Stanley Research

Exhibit 4: T&D Financial's Net Profit: F3/21 posted a loss due to declining overseas interest rates (including MAV-related losses), but performance has since been on a recovery trend



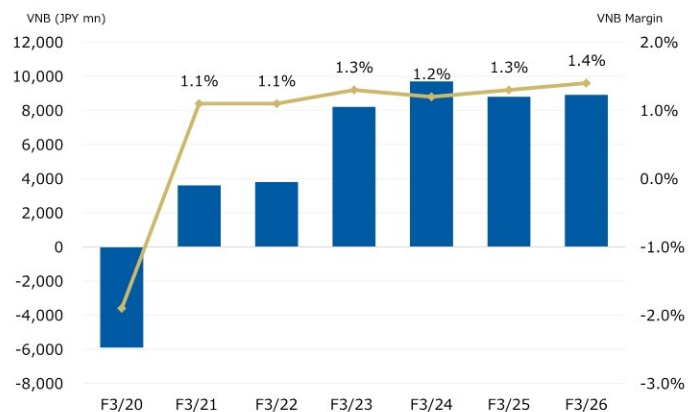
Source: Company data, Morgan Stanley Research

Exhibit 5: T&D Financial's Adjusted Net Profit: F3/23 recovery was driven by recognition of surrender gains from foreign-currency-denominated savings-type products. From F3/25, profits have been increasing due to growth in policies in force.



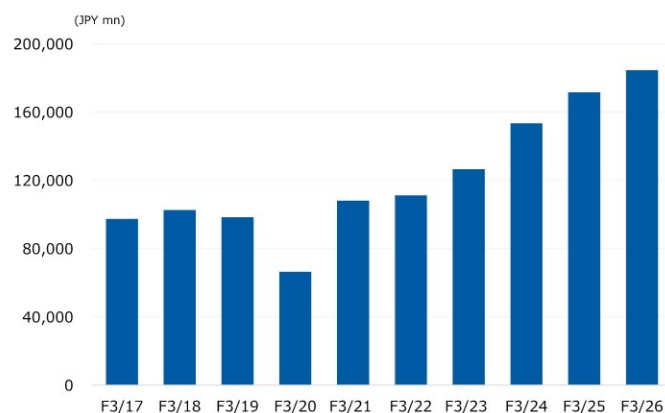
Source: Company data, Morgan Stanley Research

Exhibit 6: T&D Financial's VONB and VONB Margin: Relatively low margin profile is an industry-wide issue, reflecting characteristics of the bancassurance distribution channel; meanwhile, margins have been showing signs of improvement following commencement of reinsurance cessions.



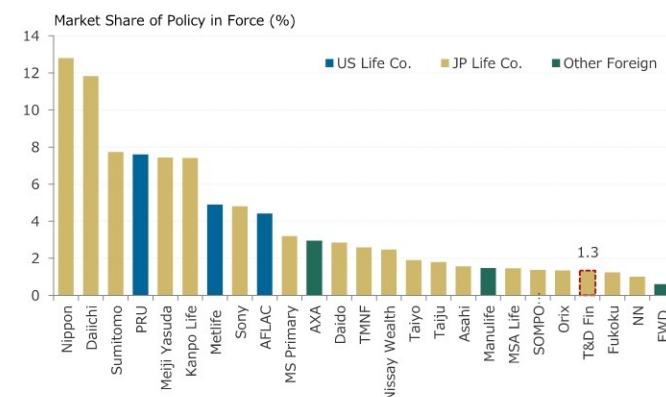
Source: Company data, Morgan Stanley Research

Exhibit 7: T&D Financial: MCEV has been growing steadily



Source: Company data, Morgan Stanley Research

Exhibit 8: T&D Financial: Overall share of policy in force ANP stands at 1.3%, with bancassurance accounting for only a limited portion of the overall insurance market



Source: Company data, Morgan Stanley Research

Valuation

We continue to value PayPay on an EV/GP basis. Using F3/28 as the base year, we derive a PT of US\$23 (down from US\$24 previously).

We have revisited our valuation of PayPay. Only about four months have passed since its IPO in March 2026, and its track record as a listed company remains limited. Given that it will likely take more time to determine the valuation range that the market will consistently apply to the company, we see little need at this stage to significantly revise either our valuation methodology or comparable peer group. Nevertheless, for validation purposes, we have added cross-checks based on EV/EBITDA and P/E in this report.

(1) Valuation methodology

We continue to use EV/GP (Enterprise Value / Gross Profit) as our primary valuation

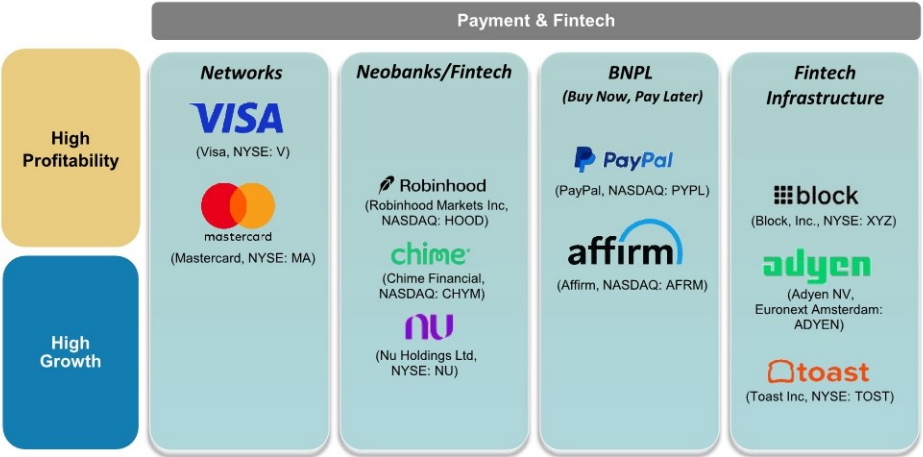
metric. For a high-growth fintech company such as PayPay, EBITDA can fluctuate significantly due to customer acquisition spending and investments in new businesses. As a result, valuing the company solely on near-term earnings could understate its growth potential. By contrast, gross profit reflects the underlying earnings base driven by GMV growth and changes in take rate, making it a useful metric for assessing medium- to long-term earnings-generating capability.

(2) Comparable companies

We use Adyen, Toast, Affirm, and Nu Holdings as comparable companies, all of which operate in consumer payments and consumer fintech.

For valuation purposes, we apply a 25% discount to the average EV/GP multiple of these four companies. Previously, we applied a discount of approximately 20%, primarily based on Adyen and Affirm, but we have widened the discount in this report. Following PayPay’s announcement on June 4, 2026, that it would invest in T&D Financial Life, its share price fell to as low as US\$12.07 on June 22, a decline of approximately 29% from the previous day prior to the announcement. We believe the equity market is more concerned about the uncertainty surrounding synergies with PayPay’s existing businesses and the path to monetization than about the company’s entry into the life insurance business itself. For the time being, the market is likely to view the strategy and financial implications of the life insurance business as highly uncertain, and we therefore believe a discount reflecting this uncertainty premium is warranted.

Exhibit 9: PayPay comps: We apply a multiple with reference to a broad range of global fintech firms based on the business model (earnings structure), growth rate (topline growth) and profitability (margin/profit generation power)



Source: Company data, Morgan Stanley Research.

(3) Upgrading our rating to OW

Even after taking into account a discount reflecting uncertainty regarding synergy creation with the life insurance business and the path to monetization, we still believe PayPay shares are trading at a certain discount relative to global fintech companies. While catalysts for multiple expansion are likely to remain limited until additional disclosures regarding the life insurance business are provided, we believe the current share price reflects an overly pessimistic view. Considering the near-term risk-reward profile, we believe the stock is more likely to stage a self-sustaining rebound through earnings

progress and improving investor sentiment than to experience a further significant decline.

Exhibit 10: PayPay valuation: EV/GP as the primary methodology, cross-checked using EV/EBITDA and P/E

Senerio	Share Price	Equity Value		EV/Gross Profit				EV/EBITDA				PER			
				F3/28e		F3/29e		F3/28e		F3/29e		F3/28e		F3/29e	
		JPY	USD	Gross Profit (JPY bn)	432.0	Gross Profit (JPY bn)	501.1	EBITDA (JPY bn)	193.2	EBITDA (JPY bn)	237.6	EPS (JPY yen)	154.5	EPS (JPY yen)	194.2
	\$9.0	1.0trn	6.2bn	Block, Klarna	~2.5x	Block, Klarna	~2.3x	PayPal, Block	~5.6x	Block, Klarna	~4.7x	Capital One	~9.7x	Capital One	~7.7x
	\$10.0	1.1trn	6.9bn	Capital One	2.8x	Capital One	2.5x		6.2x	PayPal	5.2x	Rakuten Bank	10.7x	Nu	8.6x
	\$11.0	1.2trn	7.6bn	PayPal	3.0x		2.7x		6.8x		5.7x	PayPal, Nu	11.8x	Rakuten Bank	9.4x
Bear	\$12.0	1.3trn	8.3bn		3.3x	PayPal	2.9x		7.4x		6.2x		12.9x		10.3x
	\$13.0	1.5trn	9.0bn	Chime	3.6x		3.1x	Capital One	8.0x	Adyen, Nu	6.6x		14.0x	PayPal	11.1x
	\$14.0	1.6trn	9.7bn		3.8x		3.4x	Klarna	8.5x	Capital One	7.1x	Block, Chime	15.0x	Chime	12.0x
	\$15.0	1.7trn	10.3bn		4.1x	Chime, SoFi	3.6x	Nu	9.1x	Chime	7.6x		16.1x	Block	12.8x
	\$16.0	1.8trn	11.0bn	SoFi	4.3x		3.8x	Adyen	9.7x		8.1x	Toast, Adyen	17.2x	Toast, Adyen	13.7x
	\$17.0	1.9trn	11.7bn		4.6x		4.0x		10.3x		8.5x		18.3x	Klarna	14.5x
	\$18.0	2.0trn	12.4bn		4.9x	Nu	4.3x	Chime	10.9x	Toast, Global-e	9.0x		19.3x		15.4x
	\$19.0	2.1trn	13.1bn		5.1x		4.5x		11.4x		9.5x		20.4x		16.2x
	\$20.0	2.2trn	13.8bn		5.4x		4.7x	SoFi	12.0x	SoFi	10.0x		21.5x	Global-e	17.1x
	\$21.0	2.4trn	14.5bn	Nu	5.6x	Adyen	5.6x	Toast	12.6x		10.4x	SoFi	22.6x	SoFi	18.0x
	\$22.0	2.5trn	15.2bn	Adyen	5.9x		5.2x	Global-e	13.2x		10.9x	Global-e	23.6x	Affirm, GMOPG	18.8x
Base	\$23.0	2.6trn	15.9bn		6.2x	Toast	5.4x		13.8x	GMOPG	11.4x	Visa, Mastercard, Affirm	24.7x		19.7x
	\$24.0	2.7trn	16.6bn		6.4x		5.6x		14.4x		11.8x	Klarna, GMOPG	25.8x		20.5x
	\$25.0	2.8trn	17.2bn	Toast	6.7x		5.8x		14.9x		12.3x		26.9x	Visa, Mastercard	21.4x
	\$26.0	2.9trn	17.9bn		6.9x	Global-e	6.1x	GMOPG	15.5x		12.8x		27.9x		22.2x
	\$27.0	3.0trn	18.6bn		7.2x		6.3x		16.1x		13.3x		29.0x		23.1x
Bull	\$28.0	3.1trn	19.3bn		7.5x		6.5x		16.7x		13.7x		30.1x		23.9x
	\$29.0	3.3trn	20.0bn	Global-e	7.7x		6.7x	Mastercard	17.3x		14.2x		31.2x		24.8x
	\$30.0	3.4trn	20.7bn		8.0x		7.0x		17.8x		14.7x		32.2x		25.7x
	\$31.0	3.5trn	21.4bn		8.2x		7.2x		18.4x	Mastercard	15.2x		33.3x		26.5x
	\$32.0	3.6trn	22.1bn		8.5x		7.4x		19.0x		15.6x		34.4x		27.4x
	\$33.0	3.7trn	22.8bn		8.8x		7.6x		19.6x		16.1x		35.5x		28.2x
	\$34.0	3.8trn	23.5bn		9.0x		7.9x		20.2x		16.6x		36.5x		29.1x
	\$35.0	3.9trn	24.1bn		9.3x		8.1x		20.8x		17.1x		37.6x		29.9x
	\$36.0	4.0trn	24.8bn		9.5x	GMOPG	8.3x	Visa	21.3x		17.5x		38.7x		30.8x
	\$37.0	4.2trn	25.5bn	Visa, Mastercard, Shopify, Affirm, Robinhood, GMOPG	9.8x~	Visa, Mastercard, Shopify, Affirm, Robinhood	8.5x~	Shopify, Affirm, Robinhood	21.9x~	Visa, Shopify, Affirm, Robinhood	18.0x~	Shopify, Robinhood	39.8x~	Shopify, Robinhood	31.6x~

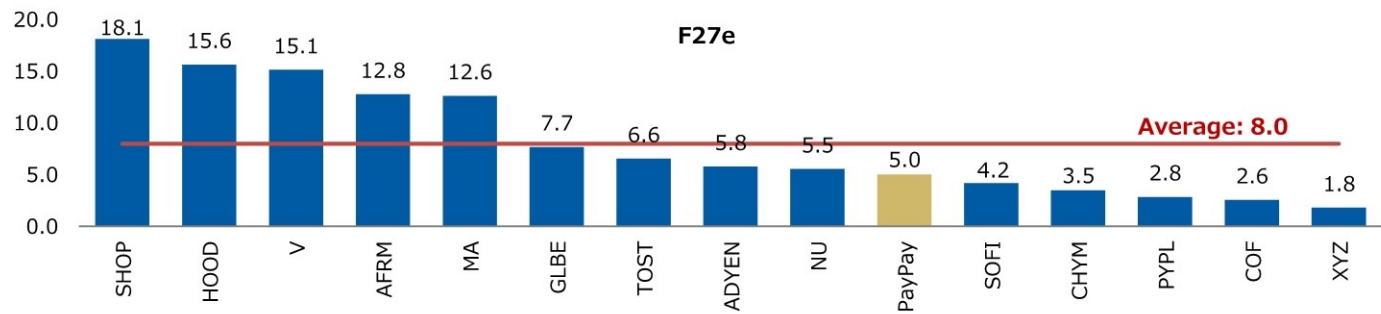
Source: Morgan Stanley Research, e=Morgan Stanley Research estimates. Notes: USD/JPY exchange rate is assumed to be JPY163 per USD (as of July 21st).

Exhibit 11: 3-year average growth rates (CAGR) for Gross Profit, EBITDA, and EPS from F25 to F28 among global fintech companies

Gross Profit		EBITDA		EPS	
Nu Holdings	38%	Affirm	111%	Chime	88%
Affirm	31%	Global-e	79%	Global-e	77%
Global-e	30%	SoFi	49%	Affirm	73%
SoFi	23%	Block	41%	Nu Holdings	46%
Shopify	23%	Nu Holdings	41%	Block	40%
Toast	23%	PayPay	36%	PayPay (PBT base)	36%
Chime	21%	Shopify	34%	SoFi	36%
Klarna	21%	Toast	33%	Toast	30%
Adyen	20%	Adyen	24%	Shopify	27%
PayPay	19%	Robinhood	19%	Adyen	23%
Block	18%	Mastercard	12%	Mastercard	15%
Robinhood	16%	Capital One	12%	Capital One	14%
Mastercard	12%	Visa	12%	Visa	14%
Visa	12%	PayPal	-5%	Robinhood	11%
Capital One	9%	Klarna	Turned profitable	PayPay	5%
PayPal	0%	Chime	Turned profitable	PayPal	0%
				Klarna	Turned profitable

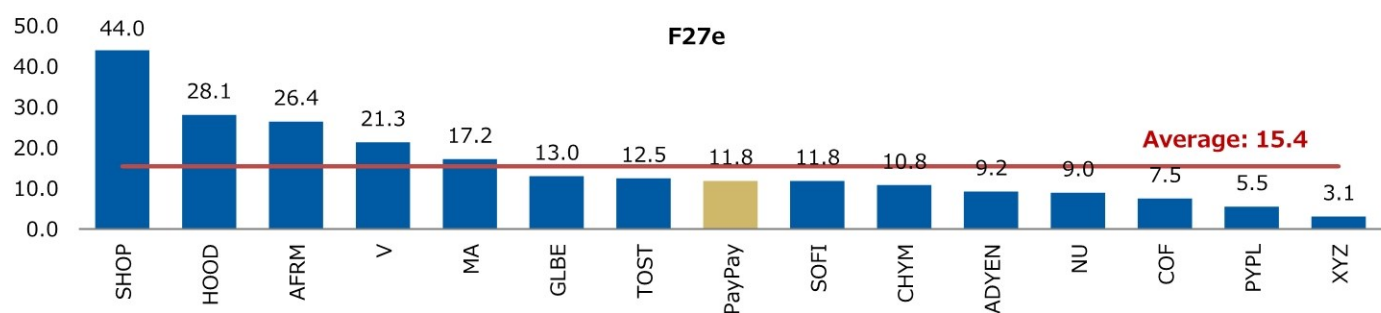
Source: Morgan Stanley Research, e=Morgan Stanley Research estimates. Note: PayPay's F3/26 EPS is elevated by tax-related items; therefore, a pre-tax profit CAGR is also presented to enhance comparability. All data are Morgan Stanley Research estimates.

Exhibit 12: EV/Gross Profit (x)



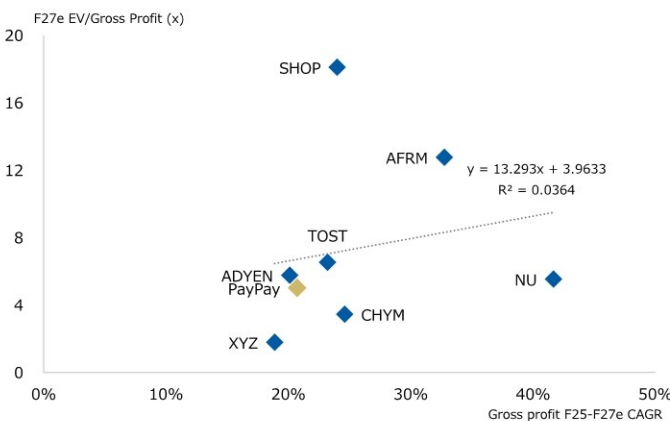
Source: Company data, Morgan Stanley Research. e=Morgan Stanley Research estimates. Note: V:Visa, MA: Mastercard, SHOP: SHOPIFY, PYPL: PayPal, XYZ: Block, AFRM: Affirm, TOST: Toast, CHYM: Chime Financial, GLBE: Global E Online, ADYEN: Adyen, HOOD: Robinhood, COF: Capital One Financial, NU: Nu Holdings, SOFI: SoFi Technologies. V, MA, PYPL, XYZ, AFRM, CHYM and GLBE are covered by James Faucette, SHOP and TOST are covered by Josh Baer, ADYEN is covered by Adam Wood, HOOD is covered by Michael Cyprys, COF and SOFI are covered by Jeffrey Adelson, NU is covered by Jorge Kuri.

Exhibit 13: EV/EBITDA (x)



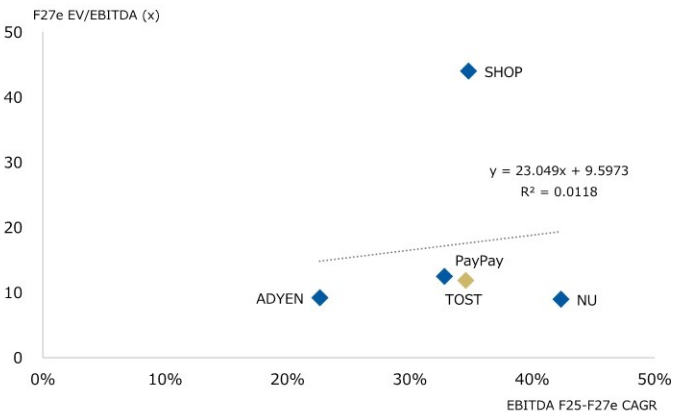
Source: Company Data, Morgan Stanley Research. e=Morgan Stanley Research estimates. Note: V:Visa, MA: Mastercard, SHOP: SHOPIFY, PYPL: PayPal, XYZ: Block, AFRM: Affirm, TOST: Toast, CHYM: Chime Financial, GLBE: Global E Online, ADYEN: Adyen, HOOD: Robinhood, COF: Capital One Financial, NU: Nu Holdings, SOFI: SoFi Technologies. V, MA, PYPL, XYZ, AFRM, CHYM and GLBE are covered by James Faucette, SHOP and TOST are covered by Josh Baer, ADYEN is covered by Adam Wood, HOOD is covered by Michael Cyprys, COF and SOFI are covered by Jeffrey Adelson, NU is covered by Jorge Kuri.

Exhibit 14: Regression Analysis of Payment/Fintech/Consumer Finance Companies: Gross Profit CAGR and EV/Gross Profit multiples



Source: Company Data, Morgan Stanley Research. e=Morgan Stanley Research estimates.

Exhibit 15: Regression Analysis of Payment/Fintech/Consumer Finance Companies: EBITDA CAGR and EV/EBITDA multiples



Source: Company Data, Morgan Stanley Research. e=Morgan Stanley Research estimates.

Reference: What are the impacts of Paypay's consolidation of T&D Financial Life Insurance Company?

On June 4, 2026, PayPay announced that it would acquire a 70.2% stake in T&D Financial Life Insurance Company from T&D Holdings (covered by Atsuro Takemura) and make the

company a subsidiary. In addition, an affiliate of global asset manager One Investment Management (OneIM) will acquire a 14.9% stake, while T&D Holdings will retain a 14.9% ownership interest. The transaction is scheduled to close on October 1, 2027 ([see report](#)).

According to the company, the rationale for the acquisition is to combine PayPay's user base of more than 74mn, its digital customer touchpoints centered around the PayPay app, and its marketing capabilities with T&D Financial Life Insurance's product development expertise, bank-branch distribution network, and insurance operating platform. Assuming that the media report is correct, through this combination, the company aims to expand insurance distribution channels and deliver new customer experiences. The strategic partnership also encompasses advertising and marketing collaboration, AI-driven operational efficiency initiatives, and new service development, underscoring PayPay's intention to integrate life insurance into its broader super-app strategy.

One notable feature of the transaction is the 14.9% investment by OneIM. The company's IR materials explicitly state that collaboration with OneIM will support the enhancement of asset management capabilities and reinsurance strategies, both of which are critical drivers of product competitiveness in the life insurance business.

Exhibit 16: Details of the PayPay's consolidation of T&D Financial Life Insurance Company

Item	Details
Transaction Overview	-Announced on June 4, 2026 -PayPay to acquire 70.2% of the shares of T&D Financial Life Insurance Company from T&D Holdings and make it a subsidiary
Consideration / Funding	-Cash consideration; expected to be funded from PayPay's cash on hand
Timing / Conditions Precedent	-Target consummation date: October 1, 2027 -Subject to required approvals and permits from relevant authorities, implementation of an IFRS transition plan, and satisfaction of other conditions precedent under the Share Purchase Agreement
Post-Closing Shareholding	-PayPay 70.2% / T&D Holdings, Inc. 14.9% / OneIM Indigo Holdings Ltd 14.9% (T&D Financial Life expected to be excluded from T&D Holdings' consolidated subsidiaries)
Relationship with OneIM	-OneIM Indigo Holdings Ltd also intends to acquire 14.9% -No agreement, arrangement, or understanding with PayPay for joint acquisition, transfer, or exercise of voting rights
Reason for Share Acquisition	-Add life insurance to PayPay's financial service offerings -Provide comprehensive financial services from everyday payments to asset building, insurance, asset management, and asset succession
Growth Initiatives	-Combine T&D Financial Life's customer base and independent agency channel with PayPay's digital platform, UI/UX, marketing, and embedded insurance expertise
Acquisition Price	-Number of shares to be acquired: 1,123,200 shares / acquisition price: approx. JPY 132.0bn; acquisition-related expenses: approx. JPY 2.4bn -Total estimated amount: approx. JPY 134.3bn (final acquisition price subject to change)
T&D Holdings Impact / Use of Proceeds	-Transfer price of approx. JPY 160.0bn; impact on financial results under review -Allocate roughly 50% each of after-tax proceeds to strategic investments and shareholder returns through share buybacks
Notes	-With respect to the 14.9% stake to be retained by T&D Holdings, the agreement sets forth a call option exercisable by PayPay on and after the effective date of the share transfer, and a put option exercisable by T&D Holdings on and after the date falling three years after the effective date of the share transfer.

Source: Company data, Morgan Stanley Research

SoftBank and PayPay reportedly considering an investment in Seven & i Holdings

On the evening of July 10, multiple media outlets, including Bloomberg, reported that SoftBank (covered by Tetsuro Tsusaka), PayPay, and Sumitomo Mitsui Card were considering a combined investment of approximately ¥300bn in Seven & i Holdings (covered by Ai Furukawa). Also, the Nikkei on July 23 reported that PayPay and SoftBank are in the final stages of negotiations to invest in Seven & i Holdings, with each company

reportedly considering an investment of approximately ¥100bn. The report also mentioned that Sumitomo Mitsui Card is expected to participate as an investor, and that the companies plan to announce the investment and details of their business collaboration by the end of July.

As of now, none of Seven & i, SoftBank, PayPay, or Sumitomo Mitsui Card has formally announced the details of such a transaction, and we have not independently verified the accuracy of the reports.

SoftBank and Sumitomo Mitsui Card announced a comprehensive business alliance in 2025 and have been expanding their digital finance and payment ecosystem centered on PayPay and V Points. Seven & i possesses one of Japan's largest retail store networks and customer touchpoints. If a capital and business alliance were to materialize, there could be opportunities for collaboration across store payments, loyalty points, customer membership platforms, financial services, and data utilization. At the same time, a key issue would be whether an equity investment is able to create distinctive synergies in areas such as payment and loyalty program operations, data utilization, and financial product offerings.

Key points to monitor include: (1) whether the reported transaction is formally confirmed; (2) if the reports are accurate, the identity of the investing entities, ownership stakes, and transaction structure; (3) the respective roles of SoftBank, PayPay, and Sumitomo Mitsui Card; (4) the specific scope of collaboration in payments, loyalty programs, financial services, and data utilization; and (5) how each party intends to achieve an attractive ROI from the investment. In particular, the most important factor influencing market perception is likely to be the extent to which management can demonstrate strategic value that can only be realized through a capital alliance.

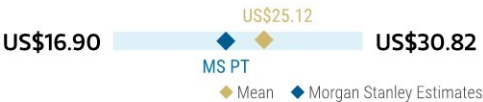
Risk Reward – PayPay (PAYP.O)

Growth firm expanding from payments to integrated financial platform

PRICE TARGET US\$23.00

We value PayPay by using an EV/Gross Profit multiple. We apply a certain discount to PayPay relative to Western fintech peers, reflecting its more limited long-term operating track record and its considerable uncertainty regarding both its strategy for entering the life insurance business and the associated financial impact. Specifically, we assume an approximately 25% discount versus the average of peers such as Affirm and Adyen.

Consensus Price Target Distribution

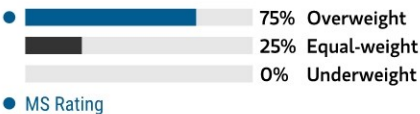


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We expect solid earnings momentum, led mainly by the payments business. We believe market concerns over investment in the life insurance business have been largely reflected in the share price.
- The key medium-term issue to watch is revenue expansion in the financial services business.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

BULL CASE

US\$29.00

BASE CASE

US\$23.00

BEAR CASE

US\$12.00

EV/Gross Profit 7x

F3/28e contribution profit is ¥446.5bn.
Revenue is ¥327.1bn in the payments segment and ¥44.9bn in financial services.

EV/Gross Profit 6x

F3/28e contribution profit is ¥432.0bn.
Revenue is ¥320.3bn in the payments segment and ¥42.5bn in financial services.

EV/Gross Profit 3.5x

F3/28e contribution profit is ¥417.0bn.
Revenue is ¥316.4bn in the payments segment and ¥40.3bn in financial services.

Risk Reward – PayPay (PAYP.O)

KEY EARNINGS INPUTS

Drivers	Mar 2026	Mar 2027e	Mar 2028e	Mar 2029e
ROE (%)	47.7	17.5	21.0	21.7
Payment segment revenue (¥, mn)	221,894	266,279	320,295	365,493
Financial Service segment revenue (¥, mn)	31,141	37,032	42,525	46,407

INVESTMENT DRIVERS

Given its merchant network and QR payment code market dominance, as well as an earnings structure that drives operating leverage, we project a F3/26-F3/29e contribution profit CAGR of 19.1%.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- If GMV or take rate growth in the payment business outstripped market expectations
- If earnings growth in financial services & overseas business exceeded expectations

RISKS TO DOWNSIDE

- If an intensified competitive environment in the payment business slowed GMV growth or take rate
- If earnings from the financial services business failed to progress as anticipated

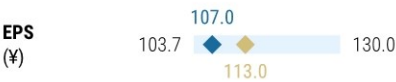
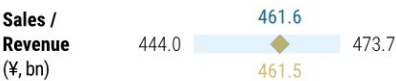
OWNERSHIP POSITIONING

Inst. Owners, % Active	89.1%	
HF Sector Long/Short Ratio	1.4x	
HF Sector Net Exposure	7.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Mar 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Exhibit 17: Financial summary

	F3/26				F3/27				F3/25	F3/26	F3/27e	F3/28e	F3/29e	F3/27	F3/27	
	1Q				1Qe				FY	FY	FY	FY	FY	1Q Ce	FY Ce	
Consolidated income statement (JPY mn)																
1	Total Revenue	86,154	92,478	99,846	102,184	105,290	113,239	121,568	121,497	299,078	380,662	461,594	556,410	639,790	103,000	454,000
2	YoY	24.6%	30.4%	24.2%	30.0%	22.2%	22.4%	21.8%	18.9%	17.5%	27.3%	21.3%	20.5%	15.0%		
3	Revenue Less Transaction Cost(RLTC)	67,139	71,709	78,639	78,931	81,133	87,135	93,908	93,775	226,644	296,418	355,952	432,027	501,101		
4	RLTC Margin	77.9%	77.5%	78.8%	77.2%	77.1%	76.9%	77.2%	77.2%	75.8%	77.9%	77.1%	77.6%	78.3%		
5	Contribution Profit CAGR (F3/25-F3/28e)													19.1%		
6	Operating Profit	15,964	20,488	24,556	19,074	25,320	26,974	29,259	29,204	35,511	80,082	110,757	159,511	202,260		
7	Operating Profit Margin	18.5%	22.2%	24.6%	18.7%	24.0%	23.8%	24.1%	24.0%	11.9%	21.0%	24.0%	28.7%	31.6%		
8	Adjusted EBITDA	23,506	27,180	31,851	28,592	32,247	34,369	37,154	37,094	58,651	111,129	140,863	193,227	237,568	30,500	134,500
9	Adjusted EBITDA Margin	27.3%	29.4%	31.9%	28.0%	30.6%	30.4%	30.6%	30.5%	19.6%	29.2%	30.5%	34.7%	37.1%	-32,500	-140,500
10	Profit (loss) for the year	10,809	73,220	19,308	14,473	17,294	18,426	19,990	19,746	39,157	117,810	75,456	108,958	138,418		
11	Attributable to:Owners of the parent company	10,511	72,586	18,424	13,513	16,602	17,689	19,190	18,957	36,170	115,035	72,438	104,600	131,497		
12	Non-controlling interests	298	634	884	960	692	737	800	790	2,987	2,776	3,018	4,358	6,921		
13	Diluted EPS	15.53	107.22	27.22	19.96	24.52	26.13	28.35	28.00	52.44	169.93	107.00	154.51	194.25		
14	Total Revenue	86,154	92,478	99,846	102,184	105,290	113,239	121,568	121,497	299,078	380,662	461,594	556,410	639,790		
15	Payment segment	71,019	76,287	81,697	82,213	84,625	92,292	99,481	98,388	248,254	311,217	374,787	449,751	512,828		
16	Financial segment	15,570	16,630	19,004	21,162	21,365	21,747	22,986	24,109	53,640	72,366	90,207	112,659	134,962		
17	Payment segment QoQ	395%	7%	7%	1%	3%	9%	8%	-1%	17%	25%	20%	20%	14%		
17	Financial segment QoQ	8%	7%	14%	11%	1%	2%	6%	5%	16%	35%	25%	25%	20%		
Inter-segment eliminations																
	F3/26				F3/27				F3/25	F3/26	F3/27e	F3/28e	F3/29e			
	1Q				1Qe				FY	FY	FY	FY	FY			
18	Fixed Costs	51,175	51,221	54,083	59,857	55,814	60,161	64,649	64,571	191,134	216,336	245,194	272,515	298,842		
19	Point expenses	13,153	15,268	16,067	15,707	16,925	18,458	19,896	19,678	50,362	60,195	74,957	89,950	102,566		
20	Employee benefit expenses	10,783	10,946	11,081	14,830	11,770	12,627	13,549	13,585	41,483	47,641	51,531	49,495	53,173		
21	Professional and outsourcing expenses	7,737	7,077	6,486	6,799	6,695	7,124	7,632	7,712	28,767	28,099	29,164	27,729	28,346		
22	Depreciation and amortization	5,729	5,755	6,067	6,207	5,903	6,348	6,815	6,811	20,093	23,758	25,878	29,634	31,683		
23	License fees	4,283	4,503	5,198	4,915	4,231	4,615	4,974	4,919	18,027	18,899	18,739	22,488	25,641		
24	Other expenses	9,490	7,672	9,183	11,398	10,289	10,989	11,782	11,865	32,402	37,744	44,925	53,220	57,433		
25	Fixed Costs %	59.4%	55.4%	54.2%	58.6%	53.0%	53.1%	53.2%	53.1%	63.9%	56.8%	53.1%	49.0%	46.7%		
26	Point expenses	15.3%	16.5%	16.1%	15.4%	16.1%	16.3%	16.4%	16.2%	16.8%	15.8%	16.2%	16.2%	16.0%		
27	Employee benefit expenses	12.5%	11.8%	11.1%	14.5%	11.2%	11.2%	11.1%	11.2%	13.9%	12.5%	11.2%	8.9%	8.3%		
28	Professional and outsourcing expenses	9.0%	7.7%	6.5%	6.7%	6.4%	6.3%	6.3%	6.3%	9.6%	7.4%	6.3%	5.0%	4.4%		
29	Depreciation and amortization	6.6%	6.2%	6.1%	6.1%	5.6%	5.6%	5.6%	5.6%	6.7%	6.2%	5.6%	5.3%	5.0%		
30	License fees	5.0%	4.9%	5.2%	4.8%	4.0%	4.1%	4.1%	4.0%	6.0%	5.0%	4.1%	4.0%	4.0%		
31	Other expenses	11.0%	8.3%	9.2%	11.2%	9.8%	9.7%	9.7%	9.8%	10.8%	9.9%	9.7%	9.6%	9.0%		
32	Variable Costs	19,015	20,769	21,207	23,253	24,157	26,104	27,660	27,722	72,434	84,244	105,643	124,384	138,689		
33	Settlement related cost	11,572	12,329	12,447	12,384	12,750	13,693	14,718	14,772	44,238	48,731	55,934	61,759	67,503		
34	Provision for loss allowance	5,240	6,073	6,083	7,527	6,667	7,248	7,806	7,741	23,942	24,923	29,462	35,421	37,922		
35	Interest expenses	2,203	2,367	2,678	3,342	4,739	5,163	5,136	5,209	4,254	10,590	20,247	27,203	33,264		
36		22.1%	22.5%	21.2%	22.8%	22.9%	23.1%	22.8%	22.8%	24.2%	22.1%	22.9%	22.4%	21.7%		
Financial Key Metrics																
	F3/26				F3/27				F3/25	F3/26	F3/27e	F3/28e	F3/29e			
	1Q				1Qe				FY	FY	FY	FY	FY			
37	ROE	7.3%	31.7%	7.0%	4.3%	4.3%	4.4%	4.6%	4.3%	47.4%	47.7%	17.5%	21.0%	20.9%		
38	Capital Ratio	5.2%	6.5%	6.2%	8.3%	8.3%	8.2%	8.2%	8.5%	5.5%	8.3%	8.5%	9.1%	10.3%		
KPI (JPY tm)																
	F3/26				F3/27				F3/25	F3/26	F3/27e	F3/28e	F3/29e			
	1Q				1Qe				FY	FY	FY	FY	FY			
Payment segment GMV																
39	PayPay Balance GMV	2.52	2.68	2.85	2.79	2.94	3.12	3.32	3.25	9.10	10.84	12.63	14.90	16.99		
40	PayPay Credit GMV	1.08	1.12	1.22	1.22	1.33	1.39	1.52	1.51	3.45	4.64	5.76	7.08	8.14		
41	PayPay Card GMV	0.79	0.84	0.94	0.97	0.95	1.01	1.13	1.16	2.83	3.55	4.26	5.03	5.63		
Financial Service Segment GMV																
42	PayPay Bank Visa Debit Card GMV	0.07	0.08	0.08	0.08	0.08	0.09	0.09	0.09	0.29	0.32	0.35	0.37	0.38		
43	GMV Total	4.46	4.73	5.10	5.06	5.30	5.61	6.06	6.01	15.66	19.35	22.99	27.37	31.14		
Payment segment Profitability (Take Rate)																
44	Total transaction and service income	1.62%	1.64%	1.62%	1.65%	1.62%	1.67%	1.67%	1.66%	1.62%	1.64%	1.66%	1.67%	1.67%		
45	Interest income	0.44%	0.44%	0.43%	0.47%	0.47%	0.47%	0.47%	0.47%	0.45%	0.44%	0.47%	0.47%	0.47%		
46	# of PayPay Bank Deposit Accounts(mn)	9.19	9.45	9.70	10.00	10.85	11.15	11.44	11.80	8.95	10.00	11.80	13.22	14.27		
47	# of PayPay Securities Accounts(mn)	1.42	1.47	1.54	1.73	1.70	1.76	1.85	2.08	1.37	1.73	2.08	2.49	2.79		
Consolidated Balance Sheet (JPY mn)																
	F3/26				F3/27				F3/25	F3/26	F3/27e	F3/28e	F3/29e			
	1Q				1Qe				FY	FY	FY	FY	FY			
Assets																
50	Cash and cash equivalents	520,364	386,583	506,230	363,083	597,776	524,971	671,782	432,333	369,811	363,083	432,333	406,136	432,024		
51	Guarantee deposits	228,039	219,419	60,097	74,139	113,000	122,000	129,000	137,000	244,229	74,139	137,000	172,000	185,000		
52	Call loans	30,000	106,000	106,000	40,014	40,014	40,014	40,014	40,014	63,000	40,014	40,014	40,014	40,014		
53	Accounts receivable	183,421	183,205	210,970	150,372	157,482	173,822	187,268	181,780	141,054	150,372	181,780	264,237	217,892		
54	Loans and advances to customers	1,996,091	2,094,582	2,325,178	2,512,851	2,460,416	2,674,408	2,820,487	3,020,603	1,927,607	2,512,851	3,020,603	3,725,504	4,262,495		
55	Securities	1,231,185	1,351,723	1,606,245	1,736,835	1,687,484	1,792,238	1,783,097	1,820,396	1,075,748	1,736,835	1,820,396	1,820,396	1,820,396		
56	Other financial assets	28,331	27,180	89,261	32,293	32,293	32,293	32,293	32,293	23,130	32,293	32,293	32,293	32,293		
57	Property and equipment	14,659	14,752	14,767	14,879	15,279	15,708	16,170	16,631	14,493	14,879	16,631	19,090	22,452		
58	Right-of-use assets	14,712	13,732	12,865	12,175	12,175	12,175	12,175	12,175	14,799	12,175	12,175	12,175	12,175		
59	Intangible assets	66,118	66,595	66,928	66,466	67,038	67,653	68,314	68,974	65,672	66,466	68,974	73,078	79,453		
60	Goodwill	15,157	15,157	15,157	15,157	15,157	15,157	15,157	15,157	15,157	15,157	15,157	15,157	15,157		
61	Investment accounted for using the equity method	973	12,631	12,955	12,762	12,762	12,762	12,762	12,762	1,012	12,762	12,762	12,762	12,762		
62	Deferred tax assets	46,822	103,570	105,226	107,275	123,000	121,000	119,000	115,000	49,392	107,275	115,000	99,000	95,000		
63	Other assets	38,314	38,948	40,284	37,711	61,000	64,000	71,000	69,000	37,001	37,711	69,000	76,000	87,000		
64	Total Assets	4,414,186	4,634,077	5,172,163	5,176,012	5,394,876	5,668,201	5,978,518	5,974,118	4,042,105	5,176,012	5,974,118	6,767,842	7,314,113		
Liabilities																
65	Deposits	2,597,238	2,735,145	2,980,991	2,952,495	3,015,395	3,051,941	3,164,969	3,165,294	2,385,939	2,952,495	3,165,294	3,615,238	3,972,261		
66	Accounts payable	898,987	953,601	1,210,825	1,122,338	96										

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Coverage Universe			Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

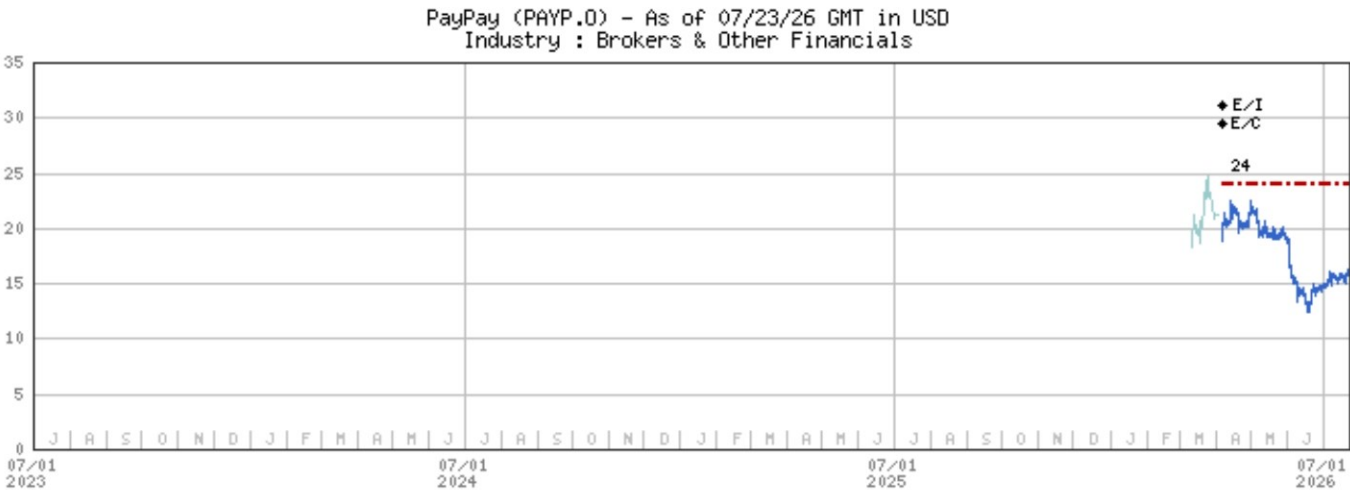
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/22/2026)
Atsuro Takemura		
Aeon Financial Service (8570.T)	U (07/02/2024)	¥1,581
Credit Saison (8253.T)	O (09/02/2024)	¥4,713
Marui Group (8522.T)	O (07/02/2024)	¥2,959

Mitsubishi HC Capital (8593.T)	O (04/02/2026)	¥1,437
Orix (8591.T)	E (04/25/2025)	¥6,582
Mia Nagasaka		
Daiwa Securities Group (8601.T)	E (02/25/2019)	¥1,853
GMO Payment Gateway (3769.T)	E (07/08/2024)	¥9,511
Monex Group (8698.T)	E (05/24/2022)	¥761
Nomura Holdings (8604.T)	E (08/23/2018)	¥1,603
PayPay (PAYP.O)	O (07/06/2026)	US\$15.90
SBI Holdings (8473.T)	E (07/06/2023)	¥2,815

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